

**LEADWAY LIVESTOCK
INSURANCE TRAINING
MODULE**



LEADWAY
Assurance

LEARNING OBJECTIVES

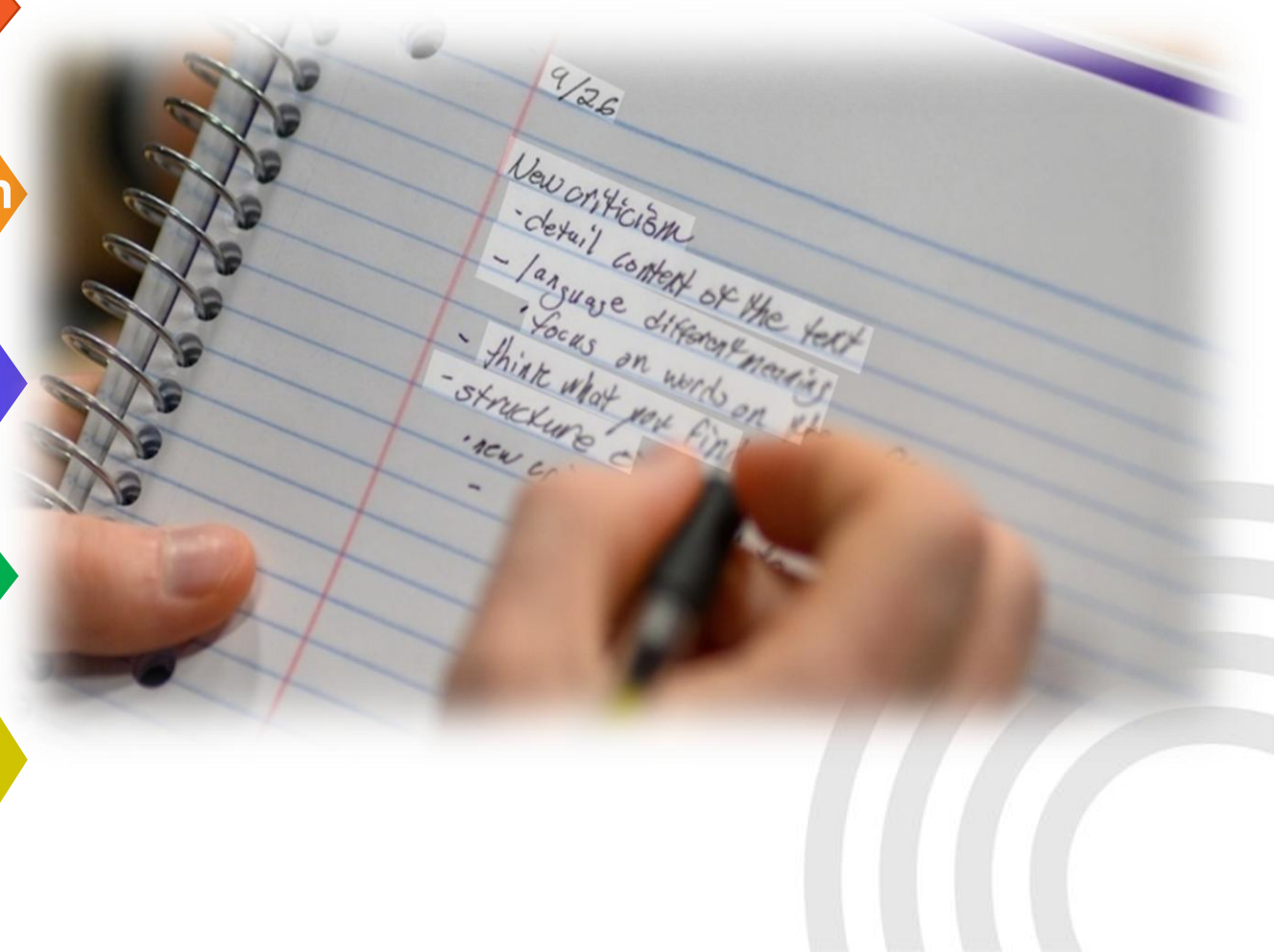
1- Meaning of Livestock Insurance

2- Premium and claim computation

3- Risk Management principles

4- Insurance documentation

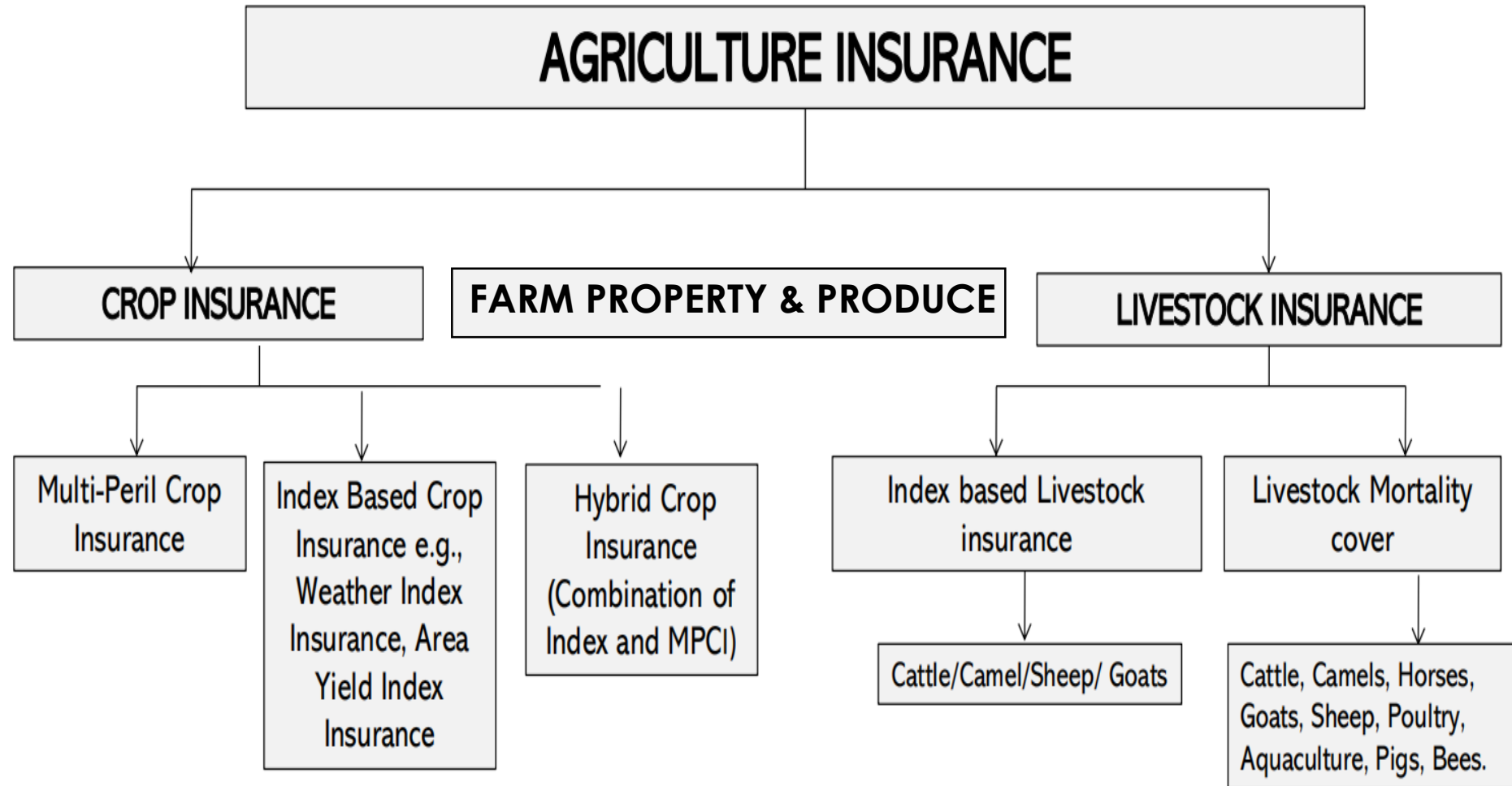
4- Major Insurance principles



INTRODUCTION

- Livestock insurance is a structured risk management tool designed to protect farmers against financial losses arising from death, disease, injury or other insured risks affecting farm animals.
- It serves as a safety net that helps ensure business continuity by covering the value of livestock against specified, often unpredictable, perils.
- Livestock classes covered include cattle, sheep, goats, pigs, poultry, aquaculture, and Apiary





- **Premium**

The money a farmer pays to the insurance company so their animals can be insured.

- **Policy**

The agreement that explains what the insurance will pay for, what it will not pay for, and what both the farmer and the insurer must do.

- **Sum Insured**

The highest amount the insurance company can pay if an insured animal dies or is lost.

- **Perils**

The problems or dangers the insurance covers, such as disease, fire, flood, accident, or lightning.

- **Exclusions**

Problems or losses the insurance does **not** cover, like losses caused by poor feeding, bad management, or sickness that was already there before insurance started.

- sick animals.

- **Claim**

When a farmer informs the insurance company and asks to be paid after an insured animal dies or is lost.

- **Loss**

When an insured animal dies, is destroyed, or is slaughtered because of a covered problem.

- **Excess (Farmer's Share)**

The small part of the loss the farmer must carry before the insurance pays the rest.

- **Indemnity**

The insurance will only pay the true value of what was lost; the farmer should not make profit from a claim.

- **Waiting Period**

A short time after buying insurance when some losses (especially disease) will not be paid, to stop people from insuring

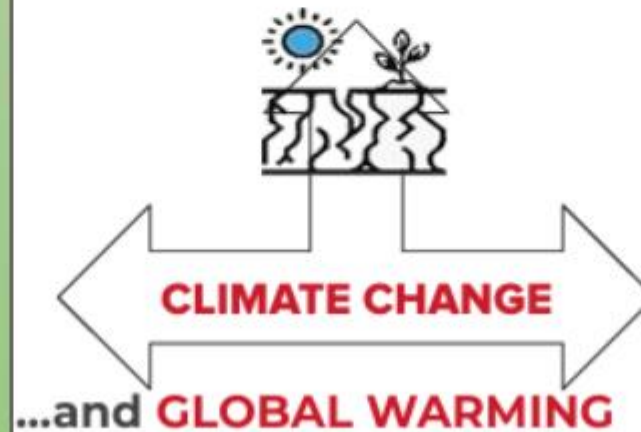
RISKS ASSOCIATED WITH LIVESTOCK INSURANCE

Natural Perils:

- Drought
- Moisture stress
- Excessive moisture
- Flood
- Fire
- Windstorm
- Heat
- Outbreak of diseases & pests
- Wild animal encroachment
- Climate change

Social and Political Perils:

- Fire
- Burglary / theft
- Strike / riot
- War / terrorism
- Vandalism
- Moral hazard



Economic / Financial / Market:

- Price Fluctuations (inputs & outputs
- Depreciation
- Loss of income
- Interest changes
- Exchange rate



**INDEMNITY BASE
INSURANCE OR
MORTALITY INSURANCE**



**INDEX BASE LIVESTOCK
INSURANCE OR
FORAGE INSURANCE**



CATTLE, PIG, GOAT & SHEEP

Guarantee an automatic protection to the farmer against loss of insured animals.

It raises credit worthiness and induce banks to lend to livestock farmers.

It increases productivity of animals through the improvement of management practices among farmers

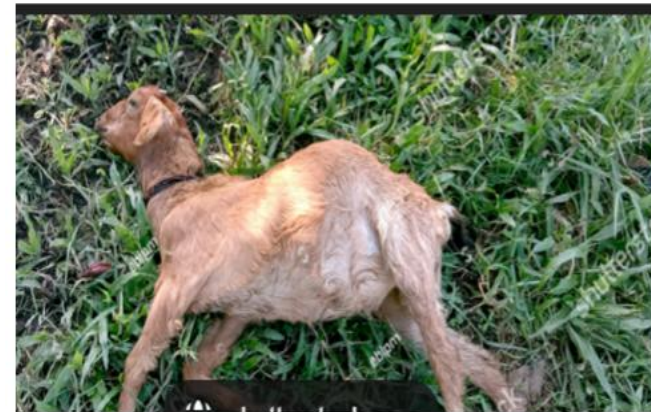
Relieve the government of the financial burden of providing relief grants to farmers who suffer losses.



SCOPE OF COVER

Livestock Insurance is an indemnity based insurance policy dedicated to providing comprehensive insurance cover for livestock against death caused directly by the following perils:

- Fire
- Flood
- Windstorm
- Accident
- Outbreak of vaccinnable and treatable diseases of viral , bacterial, fungi and parasitic origin



Sum Insurance and Period of Cover



The sum insured is calculated based on the projected market value/farm gate value of animals .



Also period of cover depends on purpose of rearing (i.e. fattening or breeding) and duration of rearing to desired maturity stage/age.

Premium Rating



Basic Premium Rate largely depends on the type of animals, production system, purpose of rearing and their terms are negotiable depending on the size of the farm, biosecurity measures present and standard of farm management.

Basic Premium Rate Ranges from 3.0% - 6.0%

These extensions are optional and they come with additional premium:

- **African Swine Fever Extension:** Applicable to pig farm only. Extension cover for death of pigs due to outbreak of African Swine Fever. Additional 5% of insured value of animals
- **Snake Bite Extension:** Extension cover for death of animals due to snake bite. Additional 0.25% of insured value of animals.
- **Tuberculosis:** Applicable to bovine farmers, additional premium of 1.5%

INDEX BASE LIVESTOCK INSURANCE



**INDEX BASE LIVESTOCK
INSURANCE OR
FORAGE INSURANCE**



INDEX-BASE LIVESTOCK INSURANCE

- ✓ **Product Introduction:** This is a parametric insurance solution designed to protect pastoralists by preserving livestock assets and supporting household resilience during periods of drought.
- ✓ **Insured Peril:** The insured peril is forage scarcity, measured using satellite-based vegetation indices (such as NDVI). When forage levels fall below pre-determined thresholds, payouts are triggered automatically to help maintain livestock well-being.

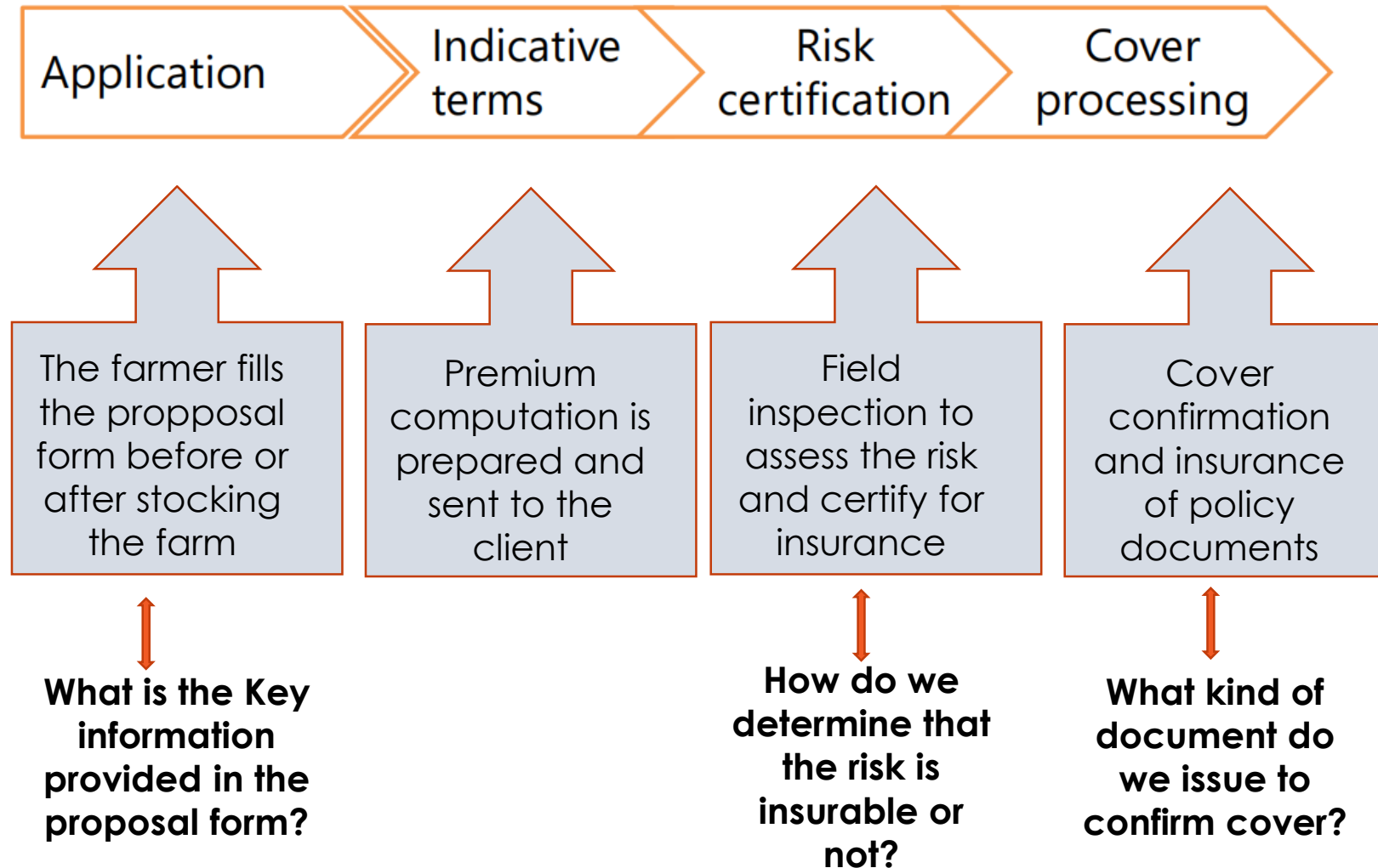


Cattle		166,500	3	499,500
Goat		16,650	5	83,250
Sheep		16,650	10	166,500

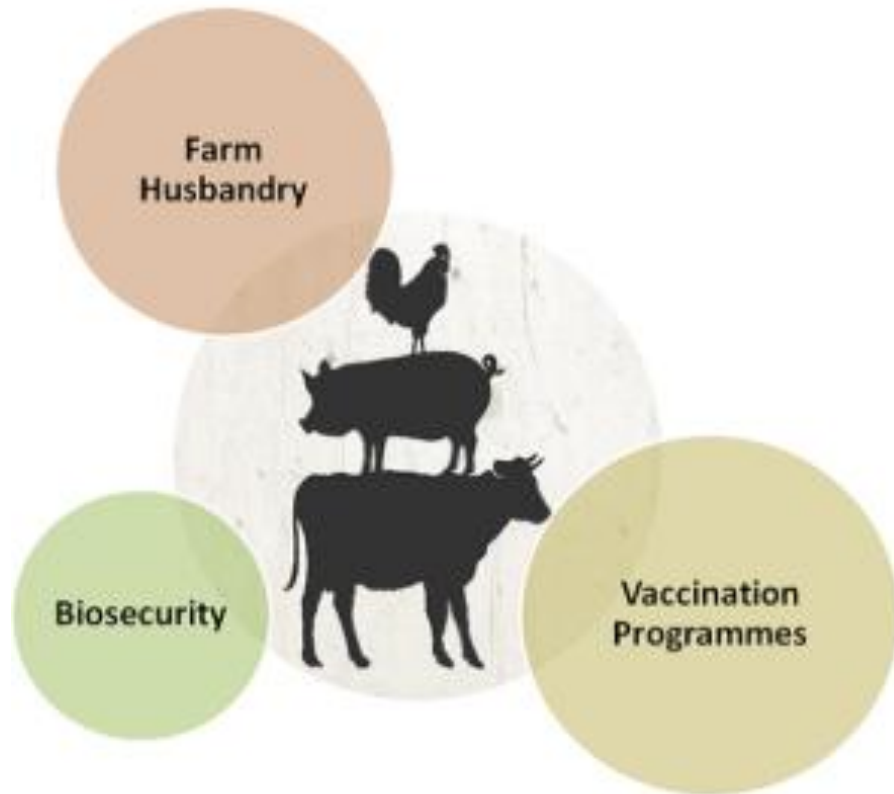
- In Index-Based Livestock Insurance (IBLI), the insurance is based on weather and pasture conditions, not on counting dead animals.
- The premium is calculated using the average rainfall history of your area over many years.
- If satellite readings (NDVI) later show that grass and pasture have become very poor due to drought, the insurance automatically pays a claim.
- This helps farmers buy feed, water and seek Veterinary support to protect their animals before losses become severe.



UNDERWRITING PROCESS



RISK MANAGEMENT FOR LIVESTOCK FARMERS



DISEASE OF IMPORTANCE

Animal	Disease
Cattle	Foot and Mouth Disease (FMD)
	Contagious Bovine Pleuropneumonia (CBPP)
	Black Quarter (Blackleg)
	Anthrax
	Lumpy Skin Disease
Pigs	Classical Swine Fever
	Swine Erysipelas
	Porcine Parvovirus
	Foot and Mouth Disease
	African Swine Fever**
Goats & Sheep	Peste des Petits Ruminants (PPR)
	Sheep & Goat Pox
	Contagious Caprine Pleuropneumonia (CCPP)
	Enterotoxaemia (Pulpy Kidney)
	Anthrax

* Vaccination subject to government approval

** No effective vaccine currently available (biosecurity essential)

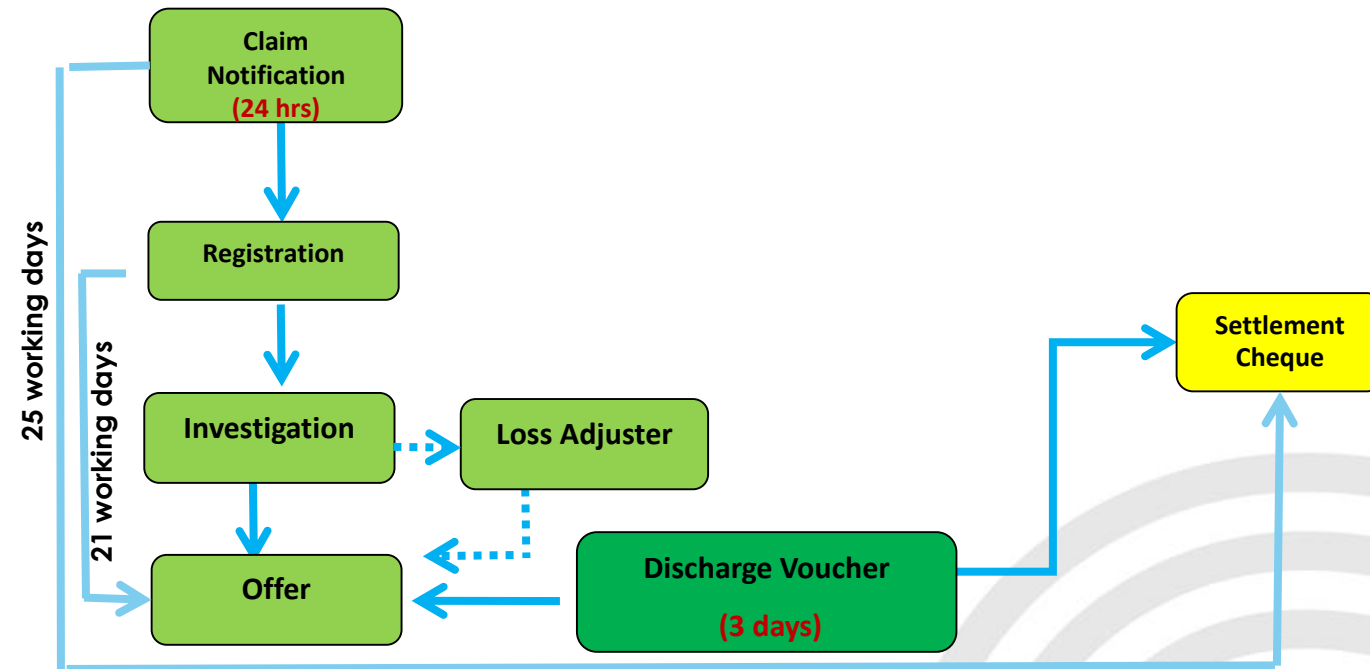
Claim reporting and notification

- The period of loss reporting vary amongst policies depending on the necessary time required to confirm and verify the claim while the evidences of the loss are fresh and unhampered. For crop the period is within 72 hours. The importance is to confirm loss without controversy.

Channels of Claim Reporting

- Calls
- Emails
- Branch Offices
- Brokers/Agents/Lending Banks
- Letters

Simple Claims Process Flow.



Goat Mortality Claim – Loss of 120

Background of the Insured

- **Type of Farm:** Commercial Goat Farm
- **Location:** Oyo State, Nigeria
- **Breed:** West African Dwarf and Red Sokoto goats
- **Total Stock at Inception:** 500 goats
- **Insurance Cover:** Livestock (Goat) Insurance Policy
- **Sum Insured per Goat:** ₦60,000
- **Total Sum Insured:** ₦30,000,000
- **Policy Period:** 1 January 2025 – 31 December 2025

Insured Peril

- **Disease:** Peste des Petits Ruminants (PPR)
- **Peril Status:** Covered infectious disease under the policy
- **Vaccination Status:** Partial compliance
 - Primary vaccination done
 - Booster vaccination delayed due to vaccine unavailability

Loss Incident

In March 2025, the farm recorded a sudden outbreak characterized by:

- High fever
- Nasal and ocular discharge
- Oral erosions
- Profuse diarrhea

Despite immediate veterinary response, the disease spread within the herd.

- **Total Deaths Recorded:** 120 goats
- **Mortality Rate:** 24% of insured stock

Notification & Documentation

The insured:

- Notified the insurer **within 24 hours**
- Submitted:
 - Veterinary diagnosis confirming **PPR**
 - Mortality and farm records
 - Vaccination history
 - Photo and video evidence
 - Biosecurity and movement logs

A **joint inspection** was carried out by the insurer's veterinary officer and loss adjuster.

Claims Assessment

- Cause of loss confirmed as **PPR**
- Disease classified as a **covered peril**
- No evidence of willful negligence or policy breach
- Adequate disease control measures implemented (quarantine, disinfection, controlled disposal)

Policy Terms Applied:

- Excess/Deductible: **10% of admissible claim**

Claim Computation

Description	Value
Total goats insured	500
Deaths recorded	120
Admissible deaths	120
Sum insured per goat	₦60,000
Gross admissible claim	₦7,200,000
Policy excess (10%)	₦720,000
Net claim payable	₦6,480,000

Q & A SESSION

LEAVE NOTHING TO CHANCE

